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What countries must do to join the WTO is ... accept the rule of law, reduce corruption, and become open, accountable, and democratic.

Richard Haass
US diplomat, July 2018

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much higher than those allowed for other countries. For example, agricultural imports into the EU face average tariffs of 11.5 percent. Under exactly the same WTO rules, Russia has never been able to levy tariffs higher than 6.5 percent. So EU farmers enjoy a level of WTO-sanctioned protection that is denied to their counterparts in Russia.

Any such international body is vulnerable to manipulation by its most powerful members. Every WTO member or bloc—such as the EU, ASEAN (Association of Southeast Asian Nations), or Mercosur (Latin America’s “southern market”)—has to have agreed “schedules” with the WTO that make clear their tariffs, quotas, and subsidies. These are then subject to approval by the WTO. Yet not only is it possible to trade without this form of certification, but the EU’s WTO schedules, for example, have remained uncertified since 2004.

US president Donald Trump and his Chinese counterpart Xi Jinping shake hands after talks in 2017. The following year, relations between the two nations deteriorated over the issue of trade.

Although the WTO is the ultimate arbiter of tariff and subsidy disputes, resolving them requires the unanimous consent of all 164 WTO members, and there is no means of knowing how such decisions are reached. Global or not, the WTO can hardly claim to be democratic. That said, since the late 1990s, the number of trade disputes under the WTO has consistently declined. There were 50 in 1997, but only 18 in 2017, for example. This suggests that, given sufficient time, most such difficulties can be untangled under WTO jurisdiction. So the organization does seem to offer the hope of equitable global trade.

An imposed ideal?

The quest for multilateral trade agreements will always take second place to national interests. Every nation has sought to bend the WTO’s rulings to its own advantage. The US has long resented countries or blocs that have sought to extract favorable trading terms from the WTO while the US has sought to do exactly the same. The WTO’s critics argue that, in effect, it has become simply another means for those with economic muscle to impose their own agendas. When

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If the last 25 years have taught us anything about the WTO, it is that this organization is resilient and resourceful.

Roberto Azevêdo
WTO director general, 2020

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Donald Trump called the WTO “a disaster” in 2018, and threatened to pull the US out of it, it was the first step in a high-stakes negotiation. His administration had just slapped tariffs on Chinese imports, with China imposing counter-tariffs.

GATT was born from a postwar belief that the world should and could be remade. The WTO is its direct descendent. It may be compromised, but it has nudged the world in the direction of greater prosperity and fairness based on free trade. However clumsy, its underlying vision remains essentially optimistic. ■

